
MEMORANDUM

TO: Mayor Patrick Collins, and City Council
FROM: TJ Barttelbort, Purchasing Manager *TJB*
DATE: April 20, 2022
SUBJECT: Contract Modification #1 to Bid E-7-21 for Ice Control Product, for the City of Cheyenne Street & Alley Division

Attached to this Memo is Contract Modification #1 to Bid E-7-21 For Ice Control Product, for the City of Cheyenne Street & Alley Division.

This intended purpose of this Contract Modification is to add a retroactive Fuel Escalator, to adjust for increasing fuel costs.

This is in response to a request received by the City, from the awarded Bidder, Desert Mountain Corp. This modification proposes an addition of a not-to-exceed amount of \$50,000.00 to cover fuel escalations for the remainder of the Contract period.

Funding: 020-26-2616-42-32304 (1% Sales Tax 19-22 / Salt) \$50,000.00

CITY OF CHEYENNE
CONTRACT MODIFICATION

APPROVED

By Stefanie Boster at 10:42 pm, Apr 19, 2022

Contract Modification: #1

Project: Ice Control Product, for the City of Cheyenne Street & Alley Division

Project Number: Bid #E-7-21

Contractor: Desert Mountain Corp, Riverton, WY

Date Prepared: April 19, 2022

The above referenced Bid Consideration is amended or modified as set forth in the following and these amendments and modifications of the plans and specifications are agreed to by the parties. All other aspects of the original agreement remain unchanged and in full force and effect.

I. Description of Changes

Due to increased fuel costs required to transport and deliver Ice Control Product, the Contractor (Desert Mountain Corp) has requested a retroactive application of a fuel escalator be applied to all Ice Control Product ordered & delivered from January 18, 2022, until the Contract expires. This delivery date (1/18/2022), sets the base fuel rate for the fuel escalator, and the cost is escalated or de-escalated based on the weekly fuel price published by the U.S. Energy Information Administration (EIA), found here:

https://www.eia.gov/dnav/pet/hist/LeafHandler.ashx?n=PET&s=EMD_EPD2D_PTE_R40_DPG&f=W

The template used for calculation of fuel escalation is based on a template provided and utilized by the Wyoming Department of Transportation (WYDOT) for the application of a fuel escalator.

Original Bid Award was for a Two (2) Year Term. Each year allows for the purchase of 1,000 Tons, with an option to purchase an additional 2,000 Tons if needed. Total cost is \$115.00 Per Ton. For a total potential award of \$345,000.00 per year. The City is currently in the second year of the Bid award.

II. New Contract Items

Addition and Inclusion of Fuel Escalator, to include retroactive application from January 18, 2022 through the end of the Contract Term (Fall 2022).

As of the date this Modification is prepared, with the application of the fuel escalator, there is \$7,132.06 in retroactive fuel escalation costs. The City of Cheyenne, Public Works Department, Street and Alley Division is requesting a not-to-exceed amount of Fifty Thousand Dollars (\$50,000.00) to utilize for the payment of fuel escalation, in accordance with the Contractors request.

This includes retroactive application beginning on January 18, 2022, and will continue until the contract term ceases, or the fuel escalator funds have been fully utilized.

III. Schedule

No impact expected to schedule or delivery timing of Ice Control Product.

IV. Summary

Original Contract Amount	\$690,000.00
Previous Modifications	\$0
Contract Amount Prior to this Modification.....	\$690,000.00
This Modification	\$50,000.00
New Contract Amount	\$740,000.00

V. Approvals

DATE: _____

City of Cheyenne

_____/_____
Mayor Patrick Collins / ATTEST: City Clerk Kristina F. Jones

_____/_____
Recommend approval by City Project Manager / Accepted by Consultant

Fuel Surcharge Policy

The City of Cheyenne will use the US Department of Energy's No 2 Diesel Prices to adjust pricing on a weekly basis. The base price will be from January 18, 2022, for the Rocky Mountain Region, which is \$3.698.

A fuel adjustment chart (see below) shall be used to determine a fuel adjustment when the price of diesel fuel increases/decreases \$0.20 cents above/below the base rate. The fuel allowance for shipments on any given day shall be based upon that week's price of diesel fuel as posted on the index above. The weekly adjustment shall be applied based on the increase or decrease of the price of diesel fuel versus the base price for the week shown.

The City of Cheyenne will allow a fuel escalation/de-escalation calculation for the week when delivery is required.

\$0.00 - \$0.05	0.00%
\$0.051 - \$0.10	0.00%
\$0.101 - \$0.15	0.00%
\$0.151 - \$0.20	0.00%
\$0.21 - \$0.25	2.00%
\$0.26 - \$0.30	2.50%
\$0.31 - \$0.35	3.00%
\$0.36 - \$0.40	3.50%
\$0.41 - \$0.45	4.00%
\$0.46 - \$0.50	4.50%
\$0.51 - \$0.55	5.00%
\$0.56 - \$0.60	5.50%
\$0.61 - \$0.65	6.00%
\$0.66 - \$0.70	6.50%
\$0.71 - \$0.75	7.00%
\$0.76 - \$0.80	7.50%
\$0.81 - \$0.85	8.00%
\$0.86 - \$0.90	8.50%
\$0.91 - \$0.95	9.00%
\$0.96 - \$1.00	9.50%
\$1.01 - 1.05	10.00%
\$1.06 - \$1.10	10.50%
\$1.11 - \$1.15	11.00%
\$1.16 - \$1.20	11.50%
\$1.21 - \$1.25	12.00%
\$1.26 - \$1.30	12.50%
\$1.31 - \$1.35	13.00%
\$1.36 - \$1.40	13.50%

If fuel adjustments increases beyond the values shown on this chart, the same formula shall apply i.e. for every \$0.04 price increase an additional .50% change may be added to the price per ton.

TJB

Month	End Date	FuelRate	Change from Base											
2022-Jan	01/03	\$ 3.687												
	01/10	\$ 3.666												
	01/17	\$ 3.678	Randy Hickman ordered first batch on January 18, 2022											
	01/24	\$ 3.698	BASE RATE	% Change	Invoice Totals for Week						Total Product for Period	% Change	\$ Amount	
2022-Feb	01/31	\$ 3.757	\$ 0.06	0.0%	\$ 3,508.64	\$ 3,545.45					7,054.09	0.0%	\$ -	
	02/07	\$ 3.861	\$ 0.16	0.0%	\$ 3,675.41	\$ 3,560.40	\$ 3,777.76	\$ 3,867.45	\$ 3,497.15	\$ 3,590.30	21,968.47	0.0%	\$ -	
	02/14	\$ 3.911	\$ 0.21	2.0%	\$ 3,566.15	\$ 3,632.85					7,199.00	2.0%	\$ 143.98	
	02/21	\$ 3.931	\$ 0.23	2.0%	\$ 3,574.20	\$ 3,558.10					7,132.30	2.0%	\$ 142.65	
	02/28	\$ 3.976	\$ 0.28	2.5%					0.00	2.5%	\$ -			
2022-Mar	03/07	\$ 4.542	\$ 0.84	8.0%	\$ 3,914.60	\$ 3,808.80	\$ 3,559.25					11,282.65	8.0%	\$ 902.61
	03/14	\$ 4.966	\$ 1.27	12.0%					0.00	12.0%	\$ -			
	03/21	\$ 4.887	\$ 1.19	11.5%	\$ 3,532.80					3,532.80	11.5%	\$ 406.27		
	03/28	\$ 5.044	\$ 1.35	13.0%					0.00	13.0%	\$ -			
2022-Apr	04/04	\$ 5.055	\$ 1.36	13.5%	\$ 3,680.00	\$ 3,699.54	\$ 4,407.95	\$ 3,543.15	\$ 3,542.00	\$ 4,393.01	23,265.65	13.5%	\$ 3,140.86	
	04/11	\$ 5.042	\$ 1.34	13.0%	\$ 3,703.01	\$ 3,701.86	\$ 3,552.35					10,957.22	13.0%	\$ 1,424.44
	04/18	\$ 5.094	\$ 1.40	13.5%	\$ 3,619.05	\$ 3,575.35					7,194.40	13.5%	\$ 971.24	

\$ 7,132.06

TJB